Before the
New York State Public Service Commission

In the Matter of

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
Cases 23-G-0225 AND 23-G-0226

September 1, 2023

Prepared Direct Testimony of

John P. Sano

On Behalf of:

The City of New York

INTRODUCTION AND QUALIFICATIONS

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. My name is John Sano. I am currently self-employed as a private consultant with experience in utility regulation issues. My business address is 11 Glenmore Drive, Schenectady, N.Y. 12309-1945.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. I am testifying on behalf of the City of New York ("City").

Q. PLEASE SUMMARIZE YOUR EDUCATION EXPERIENCE AND ANY HONORS YOU HAVE RECEIVED.

A. I completed my Bachelor of Science degree in Chemical Engineering at Clarkson University in 1974. In 1974, I was inducted into Phalanx, the Clarkson Honorary Society, for outstanding achievements as an undergraduate. I also completed my Masters in Business Administration at the State University of New York at Albany in 1983.

Q. PLEASE SUMMARIZE YOUR PROFESSIONAL EXPERIENCE AND ANY HONORS YOU HAVE RECEIVED.

A. After my graduation from Clarkson, I held several engineering and management positions with the Union Carbide Corporation at its Bound Brook, New Jersey Phenolic Plastics Division from 1974 through 1976 and with the General Electric Corporation at its Silicone Products Division in Waterford, New York from 1976 through 1990. My responsibilities at various times included new process development, process engineering, production engineering, production management, customer technical support, project management and maintenance management. During my tenure at General Electric, I was a Bronze

Medallion Award recipient. This award acknowledges individual contribution as an author of General Electric patents and trade secrets. In 1990 I joined the New York State Department of Public Service. During my thirty-one years at the Department, I held various engineering and supervisory positions in the former Gas Division, the former Energy & Water Division and finally in the Office of Electric, Gas and Water. The majority of my responsibilities as a technical advisor and later as a utility supervisor included analysis of natural gas utility policy matters, including distribution system design and planning, capacity asset management, gas purchasing practices, and gas system reliability, as well as analysis of issues related to the restructuring of the natural gas industry and use of natural gas in New York. During my last three years with the Department, I supervised the Albany Office's Gas Safety Staff of engineers on all gas safety matters. I retired from state service on May 28, 2021.

Q. HAVE YOU PREVIOUSLY TESTIFIED BEFORE THE PUBLIC SERVICE COMMISSION ("COMMISSION")?

A. I have testified in various proceedings before this Commission. These proceedings include, but are not limited to, rate Cases 14-G-0319 and 17-G-0460 with Central Hudson Gas and Electric Corporation ("Central Hudson"); 04-G-1047, 07-G-0141, 13-G-0136, and 16-G-0257 with National Fuel Gas Distribution ("NFGD"); 06-G-1185 and 16-G-0059 with The Brooklyn Union Gas Company d/b/a KeySpan Energy Delivery New York ("KEDNY"); 06-G-1186 and 16-G-0058 with KeySpan Energy Delivery Long Island d/b/a National Grid ("KEDLI"); 08-G-1392 with St. Lawrence Natural Gas ("St. Lawrence"); 02-G-0003 and 05-G-1359 with Corning Natural Gas; 90-G-1001 with Consolidated Edison Company of

New York, Inc. ("Con Edison"); and 90-G-0649 with Rochester Gas and Electric Corporation ("RG&E"). In addition, although not submitting testimony, I served as a lead staff negotiator for settlement of gas technical issues on Cases 14-G-0319 and 17-G-0460 CHG&E and as the lead gas case settlement negotiator on Cases 19-G-0379 with New York State Electric and Gas Corporation ("NYSEG") and RG&E.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. My testimony will cover two areas pertaining to KEDNY's and KEDLI's (together as "National Grid" or the "Companies") gas rate filings. I comment on both Companies' Gas Infrastructure and Operations Panel ("GIOP") pre-filed direct testimonies and their associated exhibits, supplements, and updates. I also comment on National Grid's Gas Safety Panel's pre-filed direct testimony and its associated exhibits, supplements, and updates. My testimony focuses on the following issues and recommendations:

- I propose overall reductions in the Companies' proposed capital spending of about 27% for KEDNY and 43% for KEDLI. These reductions are driven by blanket reductions on most capital program budgets to align proposed spending with recent historic average spending plus a reasonable inflation adjustment.
- I propose to eliminate all proposed capital spending in the Customer Connections category in furtherance of the requirements under New York's Climate Leadership & Community Protection Act ("CLCPA") and related City laws. Specifically, the Companies' testimony also does not sufficiently integrate expected market changes that will result from the implementation of New York City's Local Law 154 of 2021 ("LL154"), which sets combustion emissions limits in new construction buildings that

result in electrification beginning in 2024, nor is the proposal to continue to fund connections consistent with LL154.

- I propose limitations on funds for leak-prone pipe ("LPP") replacements to the cost of inflation and an insistence the Companies identify what non-pipe alternatives ("NPAs") can be implemented, in part by learning from other utilities that have been successful.
- A request that the Commission review the appropriateness of the use of capital funds for the cast-iron sealing robot ("CISBOT") and Large Diameter Pipe Programs.
- Modifications to the Companies' proposed LPP minimum mileage targets, elimination or at least restrictions to their ability to receive additional funds for mileage in excess of these targets, and rejection of a proposed return to the abandoned LPP unit cost productivity incentive mechanism.
- A proposal that negative revenue adjustments ("NRA") and positive revenue adjustments ("PRA") should be netted against each other at the end of each calendar year. In this way only a positive PRA balance or a negative NRA balance moves forward for Commission action, to be fair to both the Companies and ratepayers alike.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. I offer Exhibit__(JPS-1), which is a compilation of the discovery responses from National Grid that I utilized upon in preparing this testimony, and Exhibit__(JPS-2), which is a summary of my adjustments to the capital expenditures for both KEDNY and KEDLI.

CONCERNS WITH THE OVERALL CAPITAL PROGRAM

Q. WHAT ARE YOUR PRIMARY CONCERNS WITH THE COMPANIES' CAPITAL INFRASTRUCTURE AND GAS SAFETY PROGRAMS?

A. First, given the policy and statutory directives impacting the future use of fossil fuels, the Companies' continuation of its main replacement program in a business-as-usual manner no longer is sufficient and instead should include both short- and long-term plans for considering a reduction to the Companies' gas footprint and the need to abandon and decommission a portion of the gas system instead of replacing it with new plants. The Companies' distribution main replacement programs for LPP are proposed to continue at a pace similar to prior rate cases, while over the next several years that pace should decrease, as informed both by public policies set forth in the CLCPA, Local Law 97 of 2019 ("LL97") and LL154, but also due to diminished demand as these statutes drive down demand over time.

Second, the increased costs of the capital program will directly impact growth in the value of the gas footprint. The Companies discuss several programs ear-marked to help alleviate these costs but no real estimate or use of the implemented savings. Again, in light of policy and statutory directives, these costs need to be capped at the rate of inflation over the historic spending levels.

Third, the purpose of the Companies' programs to "further Commission and state policy goals, including the goals of the [CLCPA]," [1] may be discussed by the Companies but actual

[1] GIOP Testimony at p. 6, line 22.

implementation with benefits of NPAs, Thermal Energy Networks, etc. are not obvious. Additionally, while the CLCPA has set state-wide targets for GHG emissions reductions and energy infrastructure, the forthcoming implementation of LL97 and LL154 will have direct and specific impacts on the Companies' infrastructure and capacity as soon as next year and catalyze expanded use of NPAs, which should be discuss with more specificity. Fourth, safety metrics need to be set more aggressively, and the use of NRAs should be reallocated to minimize existing safety surcharges. The Commission should not allow NRA monies to be used except to reduce the value of a PRA earned. If there is a net balance of NRA monies at the end of any calendar year, this amount should be returned to the ratepayers.

Q. WHAT IS THE SCOPE OF YOUR RECOMMENDATIONS REGARDING THE COMPANIES' PROPOSED CAPITAL EXPENDITURES?

A. I will address my recommendations regarding the Companies' proposed capital expenditures for fiscal year 2025, the "Rate Year." The Companies also present planned capital expenditures for the three fiscal years following the Rate Year, 2026 through 2028, which National Grid refers to as Data Years 1 through 3. Therefore, I also made recommendations concerning the Companies' proposed capital expenditures in the data years.

Q. WHAT ARE THE COMPANIES' PROPOSED LEVEL OF CAPITAL EXPENDITURES?

A. KEDNY proposes to spend $1,007.9 million in the Rate Year, $1,027.5 million in Data Year 1, $1,014.7 million in Data Year 2 and $1,012.8 million in Data Year 3 for gas

infrastructure investment. The Rate Year amount is 23% more than the KEDNY historic five-year average (excluding Fiscal Year ("FY") 21 due to COVID).

KEDLI proposes to spend $665.0 million in the Rate Year, $721.2 million in Data Year 1, $729.2 in Data Year 2 and $651.5 million in Data Year 3 for gas infrastructure investment. The Rate Year amount is 46% more than the KEDLI historic five-year average (excluding FY 21 due to COVID).

Q. BASED ON YOUR ADJUSTMENT, WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURE?

A. For KEDNY, I recommend $744.324 million in the Rate Year, $766.096 million in Data Year 1, $734.118 in Data Year 2 and $719.421 million in Data Year 3. These changes amount to a decrease of $263.7 million in the Rate Year, a decrease of $261.4 million in Data Year 1, a decrease of $280.6 million in Data Year 2 and a decrease of 293.4 million in Data Year 3.

For KEDLI, I recommend $363.812 million in the Rate Year, $411.031 million in Data Year 1, $394.753 in Data Year 2 and $386.003 million in Data Year 3. These changes amount to a decrease of $296.2 million in the Rate Year, a decrease of $310.1 million in Data Year 1, a decrease of $334.5 million in Data Year 2 and a decrease of $265.5 million in Data Year 3.

A summary of my adjustments to the capital expenditures can be found in Exhibit__(JPS-2).

Exhibit__(GIOP-3), Page 9 of 10, concerning leak repairs, shows inflation for the historic test year to the rate year as 6.54%. It also shows inflation for the Rate Year and Data Year

1 as about 1.9%. I do not agree with the 6.5% inflation rate leading into the Rate Year.
2 Currently, since the Companies filed its testimonies, inflation had calmed and in its answers
3 in IR's DPS-526 and 527, both Companies state that its current (July 7, 2023) estimate of
4 inflation is 2.99% for FY 2024, 2.42% for FY 2025, 1.94% for FY 2026, 1.85% for FY
5 2027 and 1.88% in FY 2028. My adjustments use the historic averages from the last five
6 years (excluding FY 2021 due to COVID) and use these inflation rates for the Rate Years
7 and Data Years.

8 **Q. HOW DO THE COMPANIES ORGANIZE GAS CAPITAL PROJECTS?**

9 A. The Companies group gas capital projects into the following programs: Customer
10 Connections, Mandated, Reliability, Non-Infrastructure, Advanced Communication
11 Infrastructure, Future of Heat, and Operator Qualifications Program. I discuss my
12 adjustments to each of these capital program groups in the following pages.

13

14 **GAS INFRASTRUCTURE CAPITAL INVESTMENT**

15 **CUSTOMER CONNECTIONS**

16 **Q. WHAT IS INCLUDED IN THE CUSTOMER CONNECTIONS CATEGORY OF**
17 **CAPITAL PROJECTS?**

18 A. Both GIOP Panel testimonies discuss that the Companies are required by the Public Service
19 Law, the Commission's regulations, and the Companies' tariffs to extend service to new
20 customers in its service territory in proximity to the Companies' facilities, and to install
21 new distribution mains up to a 100-foot tariff allowance per customer. The Companies are
22 aware of legislation and other policy discussions, including discussions in the

Commission's Gas Planning Proceeding (Case 20-G-0131), that are considering the 100-foot regulatory allowance and the Companies' obligation to serve customers; however, other than restrictions and prohibitions on certain gas connections in New York City (see LL97 and LL154), the Companies are still obligated to connect customers.

Q. WHAT IS THE COST OF THE CUSTOMER CONNECTIONS CATEGORY OF PROJECTS?

A. The Customer Connections Category consists of two programs: the Customer Connections Program that includes the installation of mains, services, meters and regulators; and the associated Gas System Reinforcement Program, which contains projects intended to ensure that minimum system pressures are maintained throughout the gas network during periods of peak demand.

The proposed budget for KEDNY is $101.154 million in the Rate Year, $77.944 million in Data Year 1, $78.469 million in Data Year 2, and $96.475 million in Data Year 3.

The proposed budget for KEDLI is $67.340 million in the Rate Year, $85.331 million in Data Year 1, $71.950 million in Data Year 2, and $67.732 million in Data Year 3.

The KEDNY and KEDLI Customer Connections categories of work account for approximately 10 percent of the total planned direct capital investment in the Rate Year through Data Years.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURE FOR CUSTOMER CONNECTIONS CAPITAL PROJECTS INCLUDED IN YOUR TOTAL CAPITAL ADJUSTMENT ABOVE?

A. For both Companies I recommend no Customer Connections budget at all.

Q. WHY ARE YOU ELIMINATING THE CUSTOMER CONNECTIONS BUDGETS FOR BOTH COMPANIES?

A. On March 17, 2023, the Companies filed models of potential scenarios moving forward under the new Gas Planning Procedures in Case 20-G-0131. These filings were workpapers indicating the business impact of a Business as Usual ("BAU") Case Model, High Electrification Case Model and a Medium Electrification Case Model. Data provided in the Gas Load Forecasting Panels of both Companies indicate that new customer growth continues at or in excess of the BAU as filed. Despite new laws governing the ability of the Companies to add customers, these forecasts indicate that customer growth continues to increase despite the Companies description of their efforts to mitigate customer growth made in IR DPS–369. This is just not acceptable when considering the requirements of the CLCPA and LL154. To even approach the new emission requirements of the CLCPA, the prohibition on most new gas connections of LL154, and the significant GHG reduction requirements of LL97, growth in natural gas customers must be curbed as a start.

Q. WHAT ABOUT THE GAS SYSTEM REINFORCEMENT PROGRAM?

A. The Gas System Reinforcement Program contains projects intended to ensure that minimum system pressures are maintained throughout the gas network during periods of peak demand. As a result of demand for gas usage in its service territory, KEDNY determined that there is a necessity to complete a number of projects to ensure its ability to meet peak requirements due to growing gas usage load.[2] But it then continues to say

[2] KEDNY GIOP Testimony at p. 73.

"[w]ithout such reinforcements, the Company estimates that more than 42,000 existing customers could experience loss of service." The KEDLI GIOP Testimony similarly states that 10,000 existing customers are at risk. These statements are contradictory. The Companies have included both Customer Connections and Gas System Reinforcement programs in the Customer Connections category. It is unclear whether the need for reinforcement is a direct result of the addition of customers or support for existing customers. As shown in IRs CNY-022 and 023, no issues existed under extreme conditions last winter, even during a force majeure situation with two interstate pipelines in late December 2022. Also, in IR DPS-249, the Companies state, "…[o]perations Engineering team evaluates all customer-driven gas connection requests…[t]hese requests are called Gas Capacity Requests ("GCRs"). The GCR process also evaluates and identifies if a project's specific growth reinforcement may be required due to a large customer's requested gas load. Planned reinforcement projects are leveraged where practical to minimize infrastructure spending."

If the reinforcement programs were needed for existing customers, the programs would be included under reliability, not reinforcement. Because these reinforcement programs are not included under reliability, it appears that the reinforcement work captured under the Gas System Reinforcement Programs is instead driven by the planned addition of new customers. Because I am recommending curbing new customer growth, it follows that the Gas System Reinforcement Program will also no longer be needed, and therefore I propose to eliminate all funding under this category.

Q. WHY SHOULD THE COMMISSION AGREE WITH THIS APPROACH?

A Customer growth from new constructions will be eliminated in the City by LL154 beginning in CY 2024 and phasing in fully over the next several years. The remaining customer growth is anticipated to come from oil-to-gas conversions, however investments in converting from oil to gas systems will not provide long-term compliance with LL97, and thus these investments are unlikely to be pursued by a large number of buildings. The Rate Year starts after these laws go into effect.

In addition, as included in Part RR of Chapter 56 of the Laws of 2023 and signed into law on May 3, 2023, New York became the first U.S. state to pass legislation banning the use of natural gas for heating and cooking in some new buildings. The provisions will require new buildings to be constructed with only electric hookups for appliances and utilities beginning in 2025. The law goes into effect for buildings with fewer than seven stories beginning in 2026. The requirements for taller buildings will kick in by 2029. Hospitals, critical infrastructure and commercial food establishments will be exempt from the requirements. Buildings where the local grid is not capable of handling the load will also be exempt from the new law. Existing buildings and appliances will not be affected by the legislation. In its response to IR DPS-369, the Companies state "[t]he Companies are currently reviewing the potential impacts of Part RR in their capital planning process, and, to the extent that Part RR results in additional capital changes impacting these cases, the Companies propose to include any such impacts in their rebuttal testimony." This should have been done for the update filed in late June 2023.

It is apparent that the Companies cannot avoid adding customers as required by law and Commission policies. However, removing the budget here puts pressure on the Companies

to do everything in their power to minimize new customer additions, especially in the light of the new laws impacting future customer connections. To the extent that the Companies are required by law to connect new customers during the Rate Year, return on the investments not included here can be recovered in the next rate case.

Q. WHAT ARE THE GROWTH RATES DRIVING THE CUSTOMER CONNECTIONS?

A. As set forth in the testimony of the KEDNY Gas Load Forecasting Panel, the Company projects that customer count will grow at a compound average annual growth rate of 0.23% per annum from FY 2023 to FY 2028. In KEDNY's service territory, most of the customer growth is expected to come from new construction. An average of 66% of new customer connections are expected from new construction for FY 2023 to FY 2028. The remaining customer adds are from oil-to-gas conversions. As set forth in the testimony of the KEDLI Gas Load Forecasting Panel, the Company projects that customer count will grow at compound average annual growth rate of 1.02% per annum from FY 2023 to FY 2028. In KEDLI's service territory, most of the customer growth is expected to come from off-system conversions. An average of 85% of new customer connections are from off-system fuel conversions for FY 2023 to FY 2028. Off-system conversions are projected to not reach a point of saturation in the forecast horizon. The remaining customer growth in KEDLI is projected to come from new construction, which is only minimally impacted by LL154 in the New York City section of KEDLI's service territory. But the entire KEDLI area is subject to the new state law.

Q. WHAT DO YOU RECOMMEND THE COMPANIES DO MOVING FORWARD?

A. The Companies must stop adding new customers unless they actually are forced to by law or Commission regulations. Both the new City laws and the new NYS law give the Companies an opportunity to start this approach. Growth is primarily driven by a greater number of customers, as opposed to increased use per customer. More importantly, emissions from reductions in gas usage will not occur until the growth patterns are reversed. This is why I recommend that all spending on Customer Connections be eliminated.

Q. ARE THERE ALTERNATIVES FOR THE COMPANIES INSTEAD OF ADDING THESE CUSTOMERS?

A. An NPA can also be used to defer growth-related investment by decreasing demand or increasing the supply of gas in an area. The NPA programs of the Companies should evolve through the Gas Planning Proceeding but the Companies are two of the last Companies to file a plan under the current schedule.

Q. WHAT GUIDANCE DO THE COMPANIES HAVE FROM THE COMMISSION?

A. In the Gas Planning Order, companies were encouraged to use NPAs to potentially reduce or eliminate the need for gas infrastructure and investments. This was to include temporary supply, energy efficiency, electrification, and clean demand response. The Gas Planning Order provided that local distribution companies ("LDCs") should integrate NPAs into their standard gas system planning processes, both in the context of specific avoidable projects in a particular area of the distribution system, and system-wide to reduce overall demand and the need for infrastructure investment. It continues on page 36 of the Gas Planning Order to say, "use of NPAs instead of building new infrastructure is preferrable

in light of CLCPA targets…[p]otential NPAs should recognize the specific and often unique problems those solutions are intended to address." As discussed in my testimony below, the Companies need to increase their efforts to implement NPAs.

MANDATED

Q. WHAT IS INCLUDED IN THE MANDATED CATEGORY OF CAPITAL PROJECTS?

A. Both GIOP Panel testimonies discuss the Mandated spending rationale as those needed to comply with regulatory obligations and rate plan commitments, including: the City/State Construction ("CSC") programs that require the Companies to relocate facilities, code-required corrosion testing and mitigation, pipeline and station integrity related activity, proactive and reactive capital main and service replacement, and required meter replacements. This category addresses retirement of LPP, projects to reduce leaks, and new safety programs to identify and address system risks, pipeline integrity and reliability programs that will improve the safety and reliability of the Companies' gas system, and recently enacted pipeline safety regulations administered by the U.S. Department of Transportation ("DOT"), Pipeline and Hazardous Materials Safety Administration ("PHMSA").

Q. WHAT IS THE COST OF THE MANDATED CATEGORY OF PROJECTS?

A. KEDNY's Mandated category comprises 68% of the total planned direct capital investment in the Rate Year expanding to 74% in Data Year 3. The proposed budget for KEDNY is

$688.227 million in the Rate Year, $719.346 million in Data Year 1, $747.914 million in Data Year 2, and $752.999 million in Data Year 3.

KEDLI's Mandated category comprises about 71% of the total planned direct capital investment in the Rate Year through all three data years. The proposed budget for KEDNY is $476.396 million in the Rate Year, $477.187 million in Data Year 1, $519.587 million in Data Year 2, and $459.660 million in Data Year 3.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR MANDATED CAPITAL PROJECTS INCLUDED IN YOUR TOTAL CAPITAL ADJUSTMENT ABOVE?

A. For KEDNY, I recommend $525.707 million in the Rate Year, $535.906 million in Data Year 1, $545.820 in Data Year 2 and $556.082 million in Data Year 3. These changes amount to a decrease of $162.5 million in the Rate Year, a decrease of $183.4 million in Data Year 1, a decrease of $202.1 million in Data Year 2 and a decrease of $196.9 million in Data Year 3.

For KEDLI, I recommend $247.577 million in the Rate Year, $252.380 million in Data Year 1, $257.049 in Data Year 2 and $261.881 million in Data Year 3. These changes amount to a decrease of $228.8 million in the Rate Year, a decrease of $224.8 million in Data Year 1, a decrease of $262.5 million in Data Year 2 and a decrease of $197.8 million in Data Year 3. These adjustments continue the historical trend of LPP replacement constituting 83% of the total mandated budget for KEDLI.

The major cuts occur in the LPP and CSC programs based on current inflation expectations. The Companies request on both exceeded anticipated inflation impacts on costs.

A. LPP Replacement

Q. WHAT IS THE PURPOSE OF THE COMPANIES' DISTRIBUTION MAIN REPLACEMENT PROGRAMS?

A. The purpose of distribution main replacement programs is to replace leak-prone distribution main piping. LPP consists of cast-iron, wrought iron and unprotected steel pipe. In March 2012, PHMSA issued an advisory bulletin related to the continued use of cast-iron pipe and to alert gas distribution system owners and operators to potential issues with the integrity of cast-iron pipe. On April 17, 2015, the Commission issued an Order Instituting Proceeding for a Recovery Mechanism to Accelerate The Replacement of Leak Prone Pipe in Case 15-G-0151 ("Instituting Order"). In this Instituting Order, the Commission stated that its goal is "to reduce the statewide average replacement timeline to twenty years and is based on reasonable assumptions that gas Local Distribution Companies will ramp up their removal and replacement programs." In addition to safety and integrity, the Commission's Instituting Order noted the low cost of capital at that time in 2015 as an opportunity to accelerate LPP replacement with lower customer bill impacts.

Q. WHAT IS YOUR UNDERSTANDING OF THE COMPANIES' LPP REPLACEMENT PROGRAMS?

A. At the end of calendar year 2022, KEDNY had 1,312 miles and KEDLI had 3,018 miles of LPP remaining to be replaced, according to IR DPS-196. KEDNY, as shown in the Companies' Gas Safety Testimony Table 2, is proposing to replace 166 miles of LPP; 38 miles, 41 miles and 43 miles in the calendar years 2024, 2025, and 2026 respectively.

Similarly, KEDLI is proposing to replace 456 miles of LPP; 114 miles, 115 miles and 117 miles in the calendar years 2024, 2025, and 2026 respectively. These targets include planned replacements and replacements associated with work performed in conjunction with other projects, such as municipal infrastructure work that eliminates leak-prone pipe.

Q. HOW DOES THIS COMPARE WITH THE CURRENT PLAN FOR THE COMPANIES?

A. The current KEDNY plan, approved by the Commission in the 2019 Rate Case, requires retirement of at least 194 total miles of LPP during CY 2020 through CY 2023, collectively.[3] The new plan totals 166 miles for CY 2024 thru CY 2028, a reduction of 14.5%.

The current KEDLI plan, approved by the Commission in the 2019 Rate Case, requires retirement of at least 477 total miles of LPP during CY 2020 through CY 2023, collectively.[4] The new plan totals 456 miles for CY 2024 thru CY 2028, a reduction of 4.5%.

Q. WHAT IS YOUR UNDERSTANDING OF THE COST OF THE COMPANIES' LPP REPLACEMENT PROGRAMS?

A. Annual program spending for the KEDNY Proactive Main Replacement Program is $186.685 million in the Rate Year, $223.396 million in Data Year 1, $251.500 million in Data Year 2, and $269.894 million in Data Year 3. The capital cost of the KEDNY

[3] KEDNY GIOP at p. 28, line 8.

[4] KEDLI GIOP at p. 28, line 8.

Proactive Main Replacement Program was based on a forecast LPP replacement unit cost of approximately $1,964 per foot.

Annual program spending for the KEDLI Proactive Main Replacement Program is $270.191 million in the Rate Year, $287.560 million in Data Year 1, $297.829 million in Data Year 2, and $311.134 million in Data Year 3. The capital cost of the KEDLI Proactive Main Replacement Program was based on a forecast LPP replacement unit cost of approximately $465 per foot.

Exhibit__(GIOP-1) for KEDNY shows that along with associated service line replacements, these programs represent approximately 30% of the KEDNY's proposed mandated gas capital budget in the RY but grows to 43% in FY 28. Exhibit__(GIOP-1) for KEDLI, however, shows that along with associated service line replacements, these programs represent approximately 58% percent of KEDLI's proposed mandated gas capital budget in the RY but grows to 66% in FY 28. The mandated category of projects is about 70% of the total capital budget for each Company.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR LPP REPLACEMENT INCLUDED IN YOUR TOTAL CAPITAL ADJUSTMENT ABOVE?

A. For KEDNY, I recommend $136.913 million in the Rate Year, $139.570 million in Data Year 1, $142.152 in Data Year 2 and $144.825 million in Data Year 3. These changes amount to a decrease of $49.8 million in the Rate Year, a decrease of $83.8 million in Data Year 1, a decrease of $109.3 million in Data Year 2 and a decrease of $125.1 million in Data Year 3.

For KEDLI, I recommend $204.964 million in the Rate Year, $208.941 million in Data Year 1, $212.807 in Data Year 2 and $21.807 million in Data Year 3. These changes amount to a decrease of $65.2 million in the Rate Year, a decrease of $78.6 million in Data Year 1, a decrease of $85.0 million in Data Year 2 and a decrease of $94.3 million in Data Year 3.

Q. WHAT IS THE BASIS FOR YOUR ADJUSTMENTS?

A. For both of the Companies I started with the actual historical expenditures shown in FY 2023, from DPS-370. I adjusted the amount for the different mileage target levels suggested below then added inflation as provided by the Companies in IR's DPS-526 and 527, as previously stated. These Adjustments are shown in Table 1.

Table 1

KEDNY			
Proposals	LPP Minimum Removal Target Proposals (miles)		
	Calendar Year 2024	Calendar Year 2025	Calendar Year 2026
KEDNY	38	41	43
NYC	45	45	45
KEDLI			
Proposals	LPP Minimum Removal Target Proposals (miles)		
KEDLI	110	114	115
NYC	115	115	115

Q. WHAT SHOULD THE COMPANIES BE DOING TO REDUCE THE AMOUNT SPENT ON LPP SCHEDULED TO BE REPLACED?

A. As the City stated in its comments to the Commission on the Companies' Proposed NPA Alternative Screening and Suitability Criteria in Case 20-G-0131, the City "[H]as long supported the use of alternatives to traditional utility infrastructure investments, provided

that the alternatives are cost-effective, do not reduce system reliability, or adversely impact the ability…to safely and adequately serve their customers." National Grid needs to file more robust NPA screening and suitability criteria and ensure that any associated cost recovery and incentive mechanism procedures are consistent with the Commission's prior decisions and common practice. But that should not stop the Companies from developing plans that can be implemented sooner rather than later. LPP replacement enhances safety and is therefore in the public interest. Further, LPP potentially releases methane, so replacing such pipe is consistent with mitigating climate impacts of the gas system and with the requirements of the CLCPA. The Companies' need to use alternatives to balance the cost of extending the life to the natural gas footprint with overall climate impact resolution strategies.

Q. WHAT HAVE OTHER NEW YORK GAS UTILITIES DONE?

A. In its last rate case, 20-G-0249, Central Hudson committed to employing alternatives to pipe replacement where possible by eliminating double runs, bringing unprotected steel pipe into cathodic protection and/or pursuing non-pipe alternatives that demonstrate a positive benefit cost analysis. Central Hudson has employed the use of NPAs since its 2017 rate case, 17-G-0460, when it agreed to submit an implementation plan for each identified non-pipe alternative that serves as an alternative to traditional gas infrastructure investments. It was envisioned that the identified non-pipe alternatives would include projects that will reduce peak day demand but it has also been successful for LPP replacement. While new residential and commercial developments may be switched from gas and electric service to electric service only during planning stages, LPP projects may

start with existing dead-end or single line service areas. When successful, these areas can be used as a starting point to build out the NPA.

Q. WHAT IS THE APPROACH TOWARD NPAS TAKEN BY THE COMPANIES?

A. Both the KEDNY and KEDLI GIOP panels discuss their approach on Page 13 of the GIOP Direct Testimony at line 11: "The Company has incorporated NPAs into its capital planning processes and looks for opportunities to avoid installation or replacement of traditional gas infrastructure by using alternatives, such as geothermal heat pumps or electrified solutions. In August 2022, the Company submitted filings, individually and with the Joint Utilities, in the Commission's Gas Planning Proceeding (Case 20-G-0131) regarding NPA evaluation criteria, incentive mechanisms, and cost recovery. The Company will continue to look for opportunities to advance NPAs in the Rate Year and Data Years and proposes to continue current NPA obligations, such as the annual obligations to submit a request for proposal for NPA solutions and to identify five LPP projects that could be replaced with NPAs."

Q. WHAT HAVE THE COMPANIES ACCOMPLISHED?

A. First and foremost, per the response to IR-CNY-067, the Companies have yet to implement a single NPA project. They have identified plans for potential NPAs and have analyzed NPAs but to this point these is only one possible KEDLI new development that may become an NPA project, but even this project is uncertain at present.

Second, the Companies have not adequately explained why they have so much difficulty getting customers to consent to NPAs when at least one other regulated utility, Central

Hudson, has had implementation success. National Grid must do more to reevaluate their approach to NPAs and learn lessons from the success of others.

Q. WHAT SHOULD THE COMPANIES DO?

A. NPAs need to be implemented, not just considered. The Companies should identify what NPAs can be implemented now and proceed to implement them. For these reasons, the City recommended in its comments to the Gas Planning Proceeding that the Commission should require National Grid to file more robust NPA screening and suitability criteria and ensure that any associated cost recovery and incentive mechanism procedures are consistent with the Commission's prior decisions and common practice. There exists enough Commission information from its decisions in the Central Hudson, NYSEG and RGE rate cases to understand cost recovery. Waiting for a decision on a different method of payment is not portraying the climate stewardship the Companies espouse to.

LPP replacements are not the only NPAs the Companies should be pursuing. As just two examples, continued referral of potential new costumers for electrification, in conjunction with Consolidated Edison Company of New York, Inc. ("Con Edison") and PSE&G-Long Island/Long Island Power Authority ("PSEG-LI/LIPA"), and continuing with exploration of thermal energy networks are essential to reducing not just LPP replacement costs but reducing overall capital expenditures especially those related to new customer connections and reinforcement to provide service to those connections.

Specific to the electrification referrals, the Companies should identify ways to improve the scope and the success rate of these referrals, and then be required to implement a more robust and improved electrification referral program than the referral program included in

the current rate plan. Electrification efforts must become and remain a high priority if New York City is to achieve an accelerated transition from fossil fuels.

B. City/State Construction ("CSC")

Q. WHAT ARE THE COMPANIES' CITY/STATE CONSTRUCTION ("CSC") PROGRAMS?

A. As stated on page 41 of the KEDNY GIOP Testimony and on page 47 of the KEDLI GIOP Testimony, "the CSC Program consists of construction work performed to accommodate City municipal construction activity that could impact the integrity of the Company's natural gas facilities. Typical construction activities that impact gas facilities include work on water, sewer and drainage infrastructure, street reconstruction, road realignment and bridge replacement. State regulations and Company procedures require the replacement of eight inch and smaller cast iron gas mains if roadway or underground construction is being performed in such a way that would impact the integrity of the Company's mains. Non-cast-iron gas mains (i.e., steel and plastic) are not subject to the same replacement regulations and are typically supported and protected if not in direct conflict with third-party construction. Direct conflicts are addressed through relocation regardless of material type."

Q. DO THE COMPANIES PROPOSE ANY CHANGES TO THESE PROGRAMS?

A. Yes. The first change is that KEDNY will no longer include in the capital plan its forecast of reimbursements from the City because of the expiration of the Cost Sharing Agreement

("CSA") with the City on June 20, 2025. This change would make KEDNY consistent with how other utilities, such as Con Edison, KEDLI, and Niagara Mohawk, recover these costs. A second proposal is to continue the CSC capital tracker, but with a modification to allow for 100 percent recovery of CSC costs. The Companies state that the work is reactive and, despite coordination with the City, the Company can only project the level of expense it will incur in response to CSC projects.

Q. WHAT IS YOUR UNDERSTANDING OF THE COST OF THE COMPANIES' CSC PROGRAMS?

A. The forecasted cost for KEDNY's CSC Program totals approximately $329.511 million in the Rate Year, $335.904 million in Data Year 1, $342.118 million in Data Year 2, and $348.550 million in Data Year 3. Exhibit__(GIOP-1) for KEDNY shows these programs represent approximately 34% of KEDNY's proposed mandated gas capital budget in the RY through FY 28.

The forecasted cost for KEDLI's CSC Program is approximately $11.919 million in the Rate Year, $12.157 million in Data Year 1, $12.400 million in Data Year 2, and $12.648 million in Data Year 3. Exhibit__(GIOP-1) for KEDLI, however, shows that these programs represent approximately 1.7% percent of KEDLI's proposed mandated gas capital budget in the RY and grows to only 1.7% in FY 28. The mandated category of projects is about 70% of the total capital budget for each Company.

Q. DID YOU MAKE ADJUSTMENTS SPECIFICALLY TO THE CSC PROGRAMS?

A. No. I made adjustments to the remaining Mandated category as a whole, but I did not make any specific adjustments to the proposed CSC-related budgets. These adjustments

followed the same process as used for almost all capital expenditure adjustments, based on the same inflation rates already indicated. Only LPP replacement programs used the most recent, higher amount from FY 23 while the historical average was used for the other categories. FY 23 was not the highest expenditure for all other categories.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR THE REMAINDER OF THE COMPANIES' MANDATED CATEGORY AS INCLUDED IN THE TOTAL ADJUSTMENT FOR THE MANDATED CATEGORY?

A. For KEDNY, I recommend additional changes that will decrease mandated capital expenditures an additional $112.7 million in the Rate Year, $99.6 million in Data Year 1, a decrease of $92.7 million in Data Year 2 and a decrease of $71.8 million in Data Year 3.

For KEDLI, I recommend additional changes that will decrease mandated capital expenditures an additional $163.6 million in the Rate Year, $146.2 million in Data Year 1, $177.5 in Data Year 2 and $103.5 million in Data Year 3.

Again, these adjustments are based on the historical spending of the Companies plus inflation in line with the Companies responses in IR's DPS-526 and 527.

Q. WHAT ELSE DO YOU RECOMMEND?

A. The capital tracker for KEDNY's CSC program approved in the 2019 Rate Case allows the Company to defer for future recovery from or return to customers 90 percent of the difference between the Companies' actual capital spending for CSC, net of municipal

reimbursements, and the forecasted CSC budgets for each Rate Year.[5] Despite the Companies' assertion that its CSC forecasts are reasonably based on available information, capital and O&M expenditures in this area are subject to a high degree of variability. This variability, along with the lack of future reimbursement of CSC costs from the City and the many cost cutting and saving approaches discussed throughout both GIOP testimonies, indicate a need to continue the 90/10 sharing mechanism that exists. This will serve as an incentive for the Companies to continue providing this work at the most reasonable cost possible.

C. Other Mandated

Q. WHAT OTHER ISSUES DO YOU HAVE WITH ANY OF THE MANDATED PROGRAMS?

A. Overall, I generally support most of the other programs. Of special interest are the pipeline integrity and safety issues, especially the PHMSA related work. National Grid has not fully included the costs to comply with PHMSA Mega Rule 2 (RIN 2137-AF39) in its proposed investment plan, which will impact the Companies' transmission and distribution operations. This rule was recently "stayed" by PHMSA to allow more time for agency guidance and implementation.[6] The Company has included costs associated with transmission system and Integrity Management Program ("IMP") requirements in its capital and operating plan (e.g., enhanced risk modeling, repair criteria) as many of these

[5] KEDNY GIOP Testimony at p. 45, line 2.

[6] KEDLI GIOP Testimony at p. 26, line 18.

practices were already included in the Companies' procedures as discussed by the GIOP Panels.[7] But concerns exist with two programs even though only inflation adjustments were made to their costs.

Q. WHAT ARE THESE CONCERNS?

A. First, the Companies' capital plan includes continuation of two programs included in the 2019 Rate Case that utilize a joint sealing robot or "CISBOT" and cast iron ("CI") pipe lining to cost effectively improve the safety and reliability of its large diameter mains. The Companies propose to extend this capitalization to all joint repairs on large diameter CI pipes that are sixteen inches and larger. Currently, these joint repairs are expensed. This change would align the accounting treatment of these work activities with how the Company currently capitalizes the CISBOT based on the settlement in the last rate case.

Q. WHAT DO YOU RECOMMEND?

A. Even if allowed under normal capitalization rules, this approach does not appear to be in keeping with the goals of the CLCPA. The capitalization extends additional investment in infrastructure that should be reduced. The proper accounting treatment for repairs is through O&M expense, which the Company has been doing for years. The Company has not offered any compelling rationale for deviating from this practice. In fact, capitalizing these types of main replacement will increase long-term costs to customers, as doing so would enable the Company to earn a return on this work. Yet keeping the work expensed as well as converting the CISBOT work to expense, will drive up the actual revenue

[7] KEDLI GIOP Testimony at p. 25, line 23 – p. 26, lines 1-3; KEDNY GIOP Testimony at p. 25, line 23 – p. 26, lines 1-3.

requirement used to set rates. The Commission should review this approach and decide if the additional investment in infrastructure and the ability of the Companies to earn profit on work previously expensed is outweighed by the potential increase in annual revenue requirement and subsequently higher rates.

Q. IS THERE ANOTHER CONCERN?

A. A second issue, specific to KEDLI is the AMR ERT unit replacements included in the overall meter programs. The Advance Communication Infrastructure-AMI Network program summary description states "[e]xisting automated meter reading (AMR) and traditional devices cannot meet evolving gas network safety goals or support the realization of certain internal energy policy objectives." Assuming this is true, the Companies should cease further investments into the AMR meters. Capital funding is approximately $4.5 million in the rate year and subsequent data years.

Q. WHAT DO YOU RECOMMEND?

A. An adjustment was not made in the event that a customer's AMR meter does fail and needs replacement. However, these units should not be automatically replaced unless it is absolutely needed. Replacing meters just because a stated useful life has been reached is an unnecessary expenditure on units designated for a future upgrade.

RELIABILITY

Q. WHAT IS INCLUDED IN THE RELIABILITY CATEGORY OF CAPITAL PROJECTS?

A. Both GIOP Panel's testimony discuss that investments in this category are intended to maintain safe, reliable service to customers by ensuring that all facilities on the gas system are operating safely, efficiently, and reliably. The Reliability category includes programs related to gas control, heaters, reactive Instrument and Regulation ("I&R"), pressure regulating facilities, valve installation/replacement, gas planning, system reliability, water intrusion, system automation and control line integrity, special station projects (including over-pressure protection), storm hardening, and LNG facilities. Exhibit__(GIOP-5) of both GIOP panels includes a summary description of the larger projects included in the Reliability spending rationale/category, along with the estimated cost during the Rate Year and Data Years.

Q. WHAT PROJECTS ARE OF SPECIAL IMPORTANCE?

A. The City certainly recognizes and supports improvements to the Companies' Remote Service Shutoff Valve Programs, Water Intrusion Programs and LNG system improvements. The Remote Service Shutoff Valves Programs install smart meters with integrated shutoff valves on gas services within FEMA's designated flood zones. The Water Intrusion Programs are designed to address water entering the gas distribution system, resulting in main obstructions, poor pressure and/or freezing customer services. These programs target the retirement of LPP that is susceptible to water intrusion but is not prioritized for replacement under the Main Replacement programs because of the absence of leaks and/or historical leak repair activity. The LNG Blanket Programs provide annual funding for near-term and emergent capital projects needed to maintain safety and reliability at the Greenpoint and Holtsville LNG facilities.

Q. ARE THERE ANY SPECIFIC LNG PROJECTS OF INTEREST?

A. Yes. The Salt Water Pump House Project at Greenpoint provides a critical and dedicated source of fire water salt water for two major systems, the deluge system and the fire hydrant system, at the Greenpoint site. KEDNY began this project in 2016, but experienced delays and scope changes to optimize the system pursuant to permitting requirements and conditions of the Fire Department of New York. The bulk of construction work is anticipated to occur during the Rate Year.

The Holtsville Plant Modernization Project will evaluate the condition of the existing LNG tank and associated systems and perform the required upgrades and repairs following that evaluation. Failure to complete this work may jeopardize the Company's ability to utilize the plant as a peak shaving asset in times of increased customer demand, such as the winter heating season. The capital investment required for this program is approximately $30.743 million in the Rate Year, $56.040 million in Data Year 1, $26.274 million in Data Year 2, and $15.264 million in Data Year 3. The total for the project is about 25% of KEDLI's Reliability budget for all 4 years.

Q. WHAT IS THE COST OF THE RELIABILITY CATEGORY OF PROJECTS?

A. The Reliability category for KEDNY accounts for approximately 14% ($142.363 million) of the total planned direct capital investment in the Rate Year. The Reliability category for KEDLI accounts for approximately 12% ($81.895 million) of the total planned direct capital investment in the Rate Year.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURE FOR THE RELIABILITY PROGRAMS?

A. I propose no adjustments for this category. The Companies' proposals are in line with their FY 22 and historical averages plus annual inflation increases. Additional amounts in KEDLI can be attributed to its Holtsville Modernization Project.

NON-INFRASTRUCTURE, ADVANCED COMMUNICATION INFRASTRUCTURE, FUTURE OF HEAT AND OPERATOR QUALIFICATIONS

Q. WHAT IS INCLUDED IN THE NON-INFRASTRUCTURE AND OTHER CATEGORY OF CAPITAL PROJECTS?

A. The Non-Infrastructure budget includes the purchase of tools and equipment that meet the criteria for capitalization. Other Capital spending includes special projects not included in the Company's other investment categories. Included are projects related to the existing telecommunications system and the purchase of items that are not used for specific projects but support the safe, efficient, and ongoing day-to-day operations of the gas business.

Q. WHAT IS YOUR UNDERSTANDING OF THE COST OF THE NON-INFRASTRUCTURE AND OTHER PROGRAMS?

A. The forecasted cost for KEDNY is approximately $8.648 million in the Rate Year, $6.016 million in Data Year 1, $6.012 million in Data Year 2, and $6.109 million in Data Year 3. The forecasted cost for KEDLI is approximately $5.667 million in the Rate Year, $4.118 million in Data Year 1, $4.075 million in Data Year 2, and $4.132 million in Data Year 3. Exhibit__(GIOP-1) for KEDNY shows that these programs represent approximately 0.9% percent of the Company's proposed total gas capital budget in the RY and decrease to 0.6%

in FY 28. Exhibit__(GIOP-1) for KEDLI, similarly shows that these programs represent approximately 0.9% percent of the Company's proposed total gas capital budget in the RY and decrease to 0.6% in FY 28.

Q. WHAT IS INCLUDED IN THE ADVANCED COMMUNICATION INFRASTRUCTURE CATEGORY OF CAPITAL PROJECTS?

A. The Advanced Communications Infrastructure programs will fund development of a detailed scope of work and business plan to deploy an interconnected network to facilitate the installation of smart meters and methane detection devices that the Companies propose will provide real-time safety benefits and enable additional functionality to benefit the Company and its customers. The three programs proposed by the Companies are: an Advanced Metering Infrastructure ("AMI") Network Program, Smart Meter Replacement Program; and Residential Methane Detection Program.

Q. WHAT IS YOUR UNDERSTANDING OF THE COST OF THE ADVANCED COMMUNICATION INFRASTRUCTURE PROGRAMS?

A. The forecast cost for KEDNY is $6.130 million in Data Year 2 and $9.828 million in Data Year 3 to fund smart meter procurement and installation. KEDLI proposes to spend $3.568 million in Data Year 2 and $3.797 million in Data Year 3. Exhibit__(GIOP-1) for KEDNY shows these programs represent approximately 0.3% of the Company's proposed total gas capital budget in the RY but rise to 2.7% by FY 28. Exhibit__(GIOP-1) for KEDLI shows these programs represent approximately 0.5% percent of the Company's proposed total gas capital budget in the RY and grows to 4.0% in FY 28.

The City has no objection to these programs.

Q. WHAT IS INCLUDED IN THE FUTURE OF HEAT CATEGORY OF CAPITAL PROJECTS?

A. There are four specific programs funded in this category: Renewable Natural Gas (RNG) Interconnections and Thermal Energy Network Pilots for both Companies. KEDNY has the existing Newtown Creek Project while KEDLI is proposing a HyGrid project for hydrogen blending. The Companies have included all Future of Heat gas capital related expenditures proposed in this case in both Exhibits___(GIOP-1). Future of Heat project data sheets are also included in both Exhibits__(GIOP-5).

Q. WHAT IS YOUR UNDERSTANDING OF THE COMPANIES APPROACH TO THE RNG PROJECTS?

A. The Companies can play a key role in enabling locally sourced RNG for owners/developers by supporting three components of the RNG interconnection process: gas quality, pressure regulation, and odorization. KEDNY is including $2.161 million in the Rate Year, $9.243 million in Data Year 1, $1.791 million in Data Year 2, and $0.808 million in Data Year 3 for a total of $14.003 million in capital investments for two RNG interconnection projects as well as $1.000 million in Data Year 3 for future RNG interconnections. KEDLI is including $2.664 million in the Rate Year, $4.888 million in Data Year 1, $2.315 million in Data Year 2, and $1.342 million in Data Year 3 for a total of $11.209 million in capital investments for two RNG interconnection projects, as well as $1 million in Data Year 3 for future RNG interconnection capital investments.

Q. WHY ARE THESE RNG PROJECTS IMPORTANT?

A. Fossil fuel use is not the only source of methane contributing to the climate change problem. By converting the biogas from other sources to RNG at these facilities and injecting it into a natural gas network, the area surrounding these facilities will experience an overall reduction in air emissions. Another environmental benefit is that RNG does not introduce new carbon into the atmosphere, but rather recycles existing carbon that otherwise would be emitted into the atmosphere, thereby reducing the overall GHG emissions. In addition, these projects can provide a supply of methane in territory to assist the more immediate capacity and supply issues of the Companies.

The City's involvement in the Newtown Creek project shows its support for the Companies' RNG-related efforts from organic waste.

Q. WHAT IS YOUR UNDERSTANDING OF THE STATUS OF THE NEWTOWN CREEK PROJECT?

A. The Newtown Creek Project, located at the Newtown Creek Wastewater Treatment Plant in New York City, reduces GHG emissions by promoting RNG as a long-term RNG supply source. The project captures biogas generated from the wastewater treatment plant, which consists of approximately 60-65% methane and 35-40% carbon dioxide, conditions the gas and injects the gas via a RNG interconnection into the Greenpoint distribution system as pipeline quality natural gas. There are no capital expenditures shown in KEDNY Exhibit__(GIOP-1) for the project. This is because the forecast revenues from the sale of gas/environmental credits are reflected in the revenue requirement as an offset to project costs. Specifically, the Company forecasts revenues of $5.962 million in Rate Year, $6.791 million in Data Year 1, $7.355 million in Data Year 2, and $7.890 million in Data Year 3

for the Newtown Creek Project, as reflected in KEDNY Exhibit 7__(RDP-2) to the Rate Design Panel's testimony. The Rate Year revenue forecast of $5.962 million represents approximately $0.638 million from the sale of the gas and $5.324 9 million from the sale of environmental attributes.

The Company does propose to reconcile the forecast revenues with actual revenues and defer the difference for future recovery/credits. Under the contract between National Grid and the City, revenues realized above the level necessary to fully reimburse customers for the project costs must be shared equally between customers and the City.

Q. WHAT IS YOUR UNDERSTANDING OF THE COMPANIES' APPROACH TO THERMAL ENERGY NETWORKS?

A. The Utility Thermal Energy Network and Jobs Act ("UTENJA"), was enacted on July 22, 2022 to remove legal barriers to utility development of thermal energy networks and enhance gas utility worker job opportunities as part of the energy transition. On September 15, 2022, the Commission issued the "Order on Developing Thermal Energy Networks Pursuant to Utility Thermal Energy Network and Jobs Act" in Case 22-M-0249 directing the Companies, consistent with the UTENJA, to submit at least one and up to five thermal energy network project pilot proposals, with at least one in a Disadvantaged Community.

In response, on January 9, 2023, the Companies submitted thermal energy network pilot proposals in Case 22-M-0249 ("UTEN Pilot"). KEDNY has proposed a UTEN Pilot, which is located in a Disadvantaged Community, to connect and serve with a thermal energy network two high-rise apartment buildings and a community center on the New

York City Housing Authority ("NYCHA") Vandalia Avenue property with businesses located in a nearby strip mall.

KEDLI had partnered with LIPA to create a pilot networked geothermal system based on a campus-style setting. The proposed pilot was to connect six buildings on a selected university campus to a thermal energy system, including two high-rise dormitory buildings, two townhouse dormitories, a campus wellness center, and an entertainment center. On July 24, 2023, KEDLI and LIPA submitted a supplemental filing in Case 22-M-0429, indicating that the initial pilot project would not go through and asking for permission to establish a timeframe for a new project.

The Joint Parties, KEDLI and LIPA, indicate that they have contacted a new anchor customer and the customer has expressed their preliminary interest to begin developing this project. Currently, the Joint Parties are in the preliminary feasibility stage and are developing a new project filing with that customer, to be submitted no later than December 1, 2023. Concurrently, the parties are investigating the viability of issuing a Request for Proposal ("RFP") as this new site is investigated. The potential new site also has a college campus as the anchor customer and the college is located within a disadvantaged community. Unlike the original proposed Long Island Thermal Energy Pilot, the additional site would facilitate a network system to be built along the perimeters of the campus and into the surrounding neighborhood, directly impacting the residents of the disadvantaged community and increasing the number of customers involved in the project. As this site was in consideration for the previous site selection process, the Joint Parties are ready to transition immediately to the development of this new site.

Q. WHAT IS YOUR POSITION ON THESE PILOTS?

The City supports National Grid's KEDNY Pilot and appreciates its focus on delivering benefits to disadvantaged communities while also providing insights into how to best build out the thermal energy network statewide. The KEDNY Pilot includes three NYCHA buildings as the anchor customer. By using NYCHA buildings for the thermal pilot, National Grid will be directly providing benefits to residents of disadvantaged communities in compliance with both the CLCPA and the UTENJA, as well as meeting the Commission's objectives of furthering climate justice, and advancing affordable building electrification. It is also hoped that this location will help reduce gas demand thereby producing a network benefit by lowering gas peak demand and assisting with gas supply constraints that currently exist. LPP and leak management issues should also be considered.

The Companies still appear to be seeking approval for cost recovery of the UTEN Pilots in Case 22-M-0429 and not in this proceeding. However, because of the uncertainty created by this new Joint Parties filing involving the KEDLI project, concern is now raised on the timing and viability of all the Future of Heat projects, excluding Newton Creek.

Q. WHAT IS YOUR UNDERSTANDING OF KEDLI'S APPROACH TO THE HYGRID PROJECT?

A. The HyGrid Project will enable hydrogen blending as part of an existing green hydrogen facility in the Town of Hempstead, New York. The project will be sited at the Town of Hempstead Department of Conservation and Waterways' facility on Long Island, where, in 2009, the Town and the Company partnered on the development of the existing hydrogen

vehicle fueling station with funding from NYSERDA. The facility upgrade will include an expanded compressed hydrogen storage system that will allow for off-peak and night-time production of all hydrogen needed on-site for hydrogen blending and vehicle fueling. The HyGrid Project provides an opportunity to expand the existing hydrogen vehicle fueling station to include hydrogen to be blended at a well-suited area of the Company's gas distribution system. Nearby wind and solar energy are currently being used to produce compressed hydrogen and hydrogen blends for storage and dispensing at the vehicle fueling station. The site's proximity to renewable energy and the nearby gas distribution system makes it a good location for this hydrogen blending demonstration project. The project is planned to be operational in March 2025.

Q. WHAT IS YOUR UNDERSTANDING OF THE COST OF THE FUTURE OF HEAT PROGRAMS?

A. The forecast cost for KEDNY is approximately $2.231 million in the Rate Year, $9.294 million in Data Year 1, $1.828 million in Data Year 2, and $1.821 million in Data Year 3. The forecast cost for KEDLI is approximately $0.454 million in the Rate Year, $4.196 million in Data Year 1, $2.335 million in Data Year 2, and $2.349 million in Data Year 3. Exhibit__(GIOP-1) for KEDNY shows that these programs represent approximately 0.2% of the Company's proposed total gas capital budget in the RY, FY2 and FY3, KEDLI, however, shows that these programs represent approximately 1.4% of the Company's proposed total gas capital budget in the RY, but decrease to 0.4% by FY 28.

The City largely supports these programs however, given the importance of Future of Heat programs and the uncertainty over project viability in certain cases, the City requests that

all funds included in both rate cases for the Future of Heat Category include a dedicated tracker of funds spent to ensure that any monies included for rate making purposes and not spent are returned to ratepayers at the Commission's discretion.

Q. WHAT IS INCLUDED IN THE OPERATOR QUALIFICATIONS PROGRAM CATEGORY OF CAPITAL PROJECTS?

A. Operator qualifications ("OQ") require that utilities develop and maintain training and testing programs for individuals performing "covered tasks" governed by both PHMSA's regulations (49 CFR § 192.805) and the Commission's gas safety regulations (16 NYCRR 18 Part 255). On March 18, 2022, in Case 19-G-0736, the Commission issued a "Memorandum and Resolution Adopting Amendments" to its gas safety regulations in 16 NYCRR Part 255 (the "OQ Order").

The Companies propose that capital expenditures will be required to establish new permanent testing labs and training facilities as well as purchase tools and equipment (e.g. inspection and repair equipment, and pipe preparation and installation materials).

Q. WHAT IS YOUR UNDERSTANDING OF THE COST OF THE OQ PROGRAMS?

A. KEDNY's OQ programs require capital investments of approximately $12.821 million in the Rate Year, $12.979 million in Data Year 1, $13.219 million in Data Year 2, and $13.467 million in Data Year 3. KEDLI requires capital investments of approximately $8.858 million in the Rate Year, $8.939 million in Data Year 1, $9.104 million in Data Year 2, and $9.275 million in Data Year 3. KEDLI is also proposing a new OQ qualification center under its facilities expenditures. The forecast investment for the new training facility is $5.000 million in the Rate Year and $2.500 million in Data Year 1.

Exhibit__(GIOP-1) for KEDNY shows that these programs represent approximately 1.3% of the Company's proposed total gas capital budget in the RY through FY 28. GIOP-1 for KEDLI, however, shows that these programs represent approximately 1.4% percent of the Company's proposed total gas capital budget in the RY and then falls to 0.4% by FY 28.

The City agrees that these investments are beneficial to support the additional OQ requirements adopted in the Commission's resolution in Case 19-G-0736 that have been incorporated in 16 NYCRR Part 255.

The City supports the OQ programs.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR THE NON-INFRASTRUCTURE AND OTHER, ADVANCED COMMUNICATION INFRASTRUCTURE, FUTURE OF HEAT AND OPERATOR QUALIFICATIONS PROGRAM CATEGORIES?

A. The City has no other comments or objections to these programs except as may be noted above.

INDIRECT

Q. WHAT IS INCLUDED IN THE INDIRECT CATEGORY OF CAPITAL PROJECTS?

A. There are two basic groups included in the Indirect category: Facilities and Fleets. Facilities capital spending is proposed to address both normal wear and tear and to replace end-of-life building systems and materials across the Companies' aging facility portfolio. Fleet capital spending is proposed to electrify its light-duty vehicle fleet with a goal of full electrification by 2030.

Both GIOP Panel's testimonies discuss that the facilities investments in this category are intended to address routine maintenance needs essential to the Companies' ability to provide safe and reliable service to customers. KEDNY projects are necessary to replace or repair aging facilities at the Greenpoint site, to construct new facilities at its Bay Ridge and Jamaica sites, and to refurbish assets at the Company's Staten Island, Jamaica, and Canarsie sites. In addition to a new OQ Training Center, the KEDLI projects include investment to replace the existing Riverhead facility and separate an existing Gas Operations site from the currently co-located facility shared with LIPA/PSEG, a new 101,000 square foot warehouse ("Long Island Warehouse") in Medford, New York and an asset refurbishment project at its Melville site. Both asset refurbishment projects are the result of facility-condition assessments.

The Electric Vehicle ("EV") program includes installation of an electric charging infrastructure at the Companies' facilities along with the replacement of end-of-life cycle internal combustion gas vehicles. KEDNY is proposing an incremental capital investment of $6.220 million in the Rate Year, $1.500 million in Data Year 1, $6.010 million in Data Year 2, and $2.420 million in Data Year 3. KEDLI is proposing $1.500 million in the 17 Rate Year, $3.720 million in Data Year 1, $1.550 million in Data Year 2, and $3.900 18 million in Data Year 3. KEDNY and KEDLI will both incur additional Service Company capital investments of $1.500 million in the Rate Year and $4.590 million in Data Year 1 for fixed and mobile EV charging solutions.

Q. WHAT IS YOUR RECOMMENDED LEVEL OF CAPITAL EXPENDITURES FOR THE INDIRECT CATEGORY OF PROGRAMS?

A. The City has no objections to these investments, in particular the EV program. For the facilities investments, the Companies should ensure that new Company buildings are electrified and avoid or eliminate fossil fuel usage wherever possible.

GAS OPERATIONS AND MAINTENANCE ("O&M") EXPENSES

Q. WHAT IS YOUR UNDERSTANDING OF THE NATURE OF THE COMPANIES' GAS SYSTEM O&M EXPENSES?

A. O&M expenses relate to work performed to provide customer support, respond to emergencies, perform safety inspections and other compliance activities, restore service, and maintain the service life of capital assets.

Q. WHAT ARE THE COST INCREASES TO NON-LABOR O&M EXPENSE LEVEL COMPARED TO THE SIMILAR HISTORIC TEST YEAR NON-LABOR EXPENSES?

A. As shown on KEDNY Exhibit__(GIOP-7), the Company projects its incremental Rate Year non-labor O&M expense to be approximately $14.962 million for gas operations and gas safety programs. Page 97 of the KEDNY GIOP Testimony indicates that this is approximately 4.1% greater than its adjusted O&M expense for the Historic Test Year.

As shown on KEDLI Exhibit__(GIOP-6), the Company projects its incremental Rate Year non-labor O&M expense to be approximately $4.517 million for gas operations and gas safety programs. Page 97 of the KEDLI GIOP Testimony indicates that this is approximately 2.7% greater than its adjusted O&M expense for the Historic Test Year.

Q. WHAT DO THE COMPANIES STATE ARE THE CAUSES OF THESE INCREASES?

A. Increases in O&M expense are primarily driven by: (i) increasing capital investments and increased costs for executing the capital plan; (ii) changes to O&M workload; and (iii) initiatives to address new or expanding safety requirements, including OQ requirements, and to implement best practices and lessons learned from recent industry gas system incidents for the benefit of customers. The New York City restoration/paving cost increases also impact O&M costs of construction, leak repairs, and disconnects and reconnects.

Q. DO YOU AGREE WITH THE ASSESSMENT OF O&M NON-LABOR EXPENSES BY THE COMPANIES?

A. On the surface, the proposed levels of expense do not seem unreasonable based on existing inflation rates forecasted for the RY and DY's. However, it is difficult to identify how much O&M expenses will be required when some Gas Safety requirements could change and O&M expenses are based on whether actual plans occur or if they slip.

Q. WHAT DO YOU PROPOSE?

A. Expense amounts included for rate making purposes should be reconciled annually. The differences should be shared on a 90/10 mechanism similar to the mechanism established for the CSC capital, especially since CSC-related expenses are included here. This should assist the Companies in meeting any new requirements as well as providing a benefit to ratepayers for the many cost-cutting approaches discussed by the Companies in both GIOP testimonies.

GAS SAFETY METRICS AND PERFORMANCE MEASURES

Q. WHAT DID THE COMPANIES PROPOSE CONCERNING ITS GAS SAFETY METRICS?

A. The Companies state that its gas safety and compliance measures were set in the 2019 KEDNY and KEDLI Rate Cases with performance targets established for CYs 2020 through 2023, continuing until changed by the Commission. Testimony of the Gas Safety Panel stresses that the current targets are challenging, but potentially achievable, and ensure the Companies continue to stretch and improve their gas safety performance year-over-year. The Companies proposed revisions to the existing targets to modify the performance targets for certain metrics, such as LPP retirement mileage and leak management targets but hold damage prevention targets constant during the term of the proposed rate plan. The Companies also propose limited incentives to encourage performance and productivity improvements.[8]

LEAK PRONE PIPE INCENTIVES

Q. WHAT DO THE COMPANIES PROPOSE AS MODIFICATIONS TO THE EXISTING LPP MILEAGE INCENTIVE?

A. The Companies proposal is identified in Table 2 of its Gas Safety Panel Testimony. This indicates that the proposed mileage, by company and CY, will continue at reduced amounts. KEDNY's current target of 45 miles will be reduced to 38 miles in CY 2024, then return to 41 miles in CY 2025 and 43 miles in CY 2026. KEDLI's current target of 116 miles will be reduced to 110 miles in CY 2024, then return to 114 miles in CY 2025 and 115 miles in CY 2026. The Companies propose to continue the NRA of 15 basis points should they fail

[8] KEDNY and KEDLI Gas Safety Panel Testimony at p. 35, line 15.

to remove from service a minimum target of miles of LPP in CYs 2024, 2025, 2026, and 2027 or a cumulative four-year total of LPP by the end of CY 2027.

Q. DO YOU AGREE WITH THE PROPOSED TARGET MILEAGE AMOUNTS AND NRAS?

A. Although the idea of a small annual reduction in the mileage targets is not unreasonable, the year-to-year differences from current levels are difficult to understand. The Companies state that the proposal provides flexibility to target additional replacements when resources are available and other opportunities are presented to complete the work more cost effectively. This seems more in line with the proposal for the LPP unit cost incentive than the actual mileage metric. I would prefer to see a consistent level over each of the calendar years, 45 miles each year for KEDNY and 115 miles each year for KEDLI.

Q. WHAT DO THE COMPANIES PROPOSE AS A LPP UNIT COST PRODUCTIVITY INCENTIVE?

A. The Companies propose to reinstitute the LPP unit cost productivity incentive mechanism that was adopted in the 2016 KEDNY and KEDLI Rate Cases. The productivity incentive would allow the Companies to earn a PRA of up to ten basis points if the Companies can meet specific unit cost targets. The Companies also propose to continue the existing mechanism that allows for recovery of incremental LPP replacement unit costs up to 102 percent of unit costs allowed in rates through the Gas Safety and Reliability Surcharge

("GSRS").[9] In addition, the preference is to see priority given to replacements in both the flood plain (in support of storm hardening efforts) and underprivileged areas.

Q. SHOULD THE COMMISSION REINSTATE THE POSITIVE REVENUE ADJUSTMENT IF THE COMPANIES MEET SPECIFIC UNIT COST TARGETS RELATED TO LPP REPLACEMENT?

A. No. The Companies had an incentive mechanism allowing the Companies to earn a PRA of up to 10 basis points prior to the last rate case. It was rejected in the last rate case and there are no new reasons why it should be reinstated here.

Q. WHAT ARE YOUR CONCERNS WITH THE PROPOSAL?

A. The Companies claim that unit costs for LPP replacements have increased significantly since the last rate case. Thus, for purposes of the LPP unit cost PRA, the Companies are actually implying that the unit cost targets would show how its cost amelioration efforts, discussed by both of its GIOP Panels, were succeeding and thus should be rewarded. The ratepayer is better served by adjusting the annual fiscal year capital budgets to reflect these efforts. That would allow each company to manage its business and adhere to a budget for the work to be performed. The capital budgets for LPP replacement were increased by only inflation, as stated above.

Q. DO THE COMPANIES PROPOSE TO CONTINUE TO RECOVER EXCESS LPP REPLACEMENTS THROUGH GAS SAFETY RELIABILITY SURCHARGE?

A. Yes.

[9] KEDNY and KEDLI Gas Safety Panel Testimony at p. 38, line 22.

Q. DO YOU AGREE?

A. No. Any spending in excess of the budget should be deferred for recovery in future rate cases similar to any other capital project that exceeds its rate case approved amount. This is particularly important in light of the high proposed rate increases.

Q. WHAT ELSE CAN THE COMPANY DO TO REDUCE THE COST OF LPP REPLACEMENT?

A. As stated previously, a more active approach to the use of NPAs, decommissioning and adding cathodic protection instead of replacement should be explored.

Q. IS THERE ANY WAY TO INCENT THE COMPANIES TO DO THIS?

A. One possibility, if the Companies continue to insist on reimbursement for excess LPP replacements each year, is to limit that reimbursement to the amount of mileage replaced through NPAs. Once a target is reached, the reimbursement amount of mileage must not exceed the amount of mileage credited in the total mileage by use of NPAs.

EMERGENCY RESPONSE TIME INCENTIVES

Q. WHAT ARE THE COMPANIES' PROPOSALS FOR THE EMERGENCY RESPONSE METRICS?

A. The Companies propose to maintain the existing metric that is based on statewide performance targets established for this performance measure and the existing mechanism for excluding instances of 20 or more odor calls in a two-hour period from a mass odor issue not caused by the Companies, contingent upon Staff's consent. The City has no issue with this proposal.

GAS LEAK BACKLOG INCENTIVES

Q. WHAT DO THE COMPANIES PROPOSE AS MODIFICATIONS TO THE EXISTING GAS LEAK BACKLOG INCENTIVE?

A. The Companies propose to retain the annual reduction of the leak target of 150 leaks for KEDNY and implement phased annual reduction targets for KEDLI. A change to KEDLI's target is being proposed based on KEDLI's prior performance against the metric and the current leak backlog. KEDLI's performance in CY 2021 and CY 2022 earned PRAs of four and two basis points, respectively. The leak backlogs were reduced accordingly in each subsequent calendar year, with the additional leak reduction targets of 750 annually from the Joint Proposal. KEDLI indicates that continuing the existing rate of reduction to the target number of leaks is not sustainable

Q. WHY DOES KEDLI PROPOSE THAT THE CONTINUED RATE OF TARGET REDUCTION IS UNSUSTAINABLE?

KEDLI Gas Safety Testimony states that it has more than 3,000 miles of LPP remaining in its inventory and most of the leak backlog will be eliminated by LPP replacement in the coming years. Therefore, KEDLI proposed phased reduction targets of 650 leaks for CY 2026 and 550 leaks for CY 2027. Both Companies propose to continue the adjustment factor to the leak backlog metric that reduces the annual target based on the prior year's performance if a PRA is achieved. In addition, to avoid the situation where leaks identified in the final days of the year frustrate the Companies' ability to meet its year-end targets, the Companies propose that they will be deemed as having met the leak targets if achieved any time between December 21 and December 31 of the respective CY.

Q. DO YOU AGREE WITH THE PROPOSED CHANGES TO GAS LEAK BACKLOG TARGETS?

A. No. While the City certainly recognizes and supports improvements to the Companies' leak backlog reductions achieved to date, reducing the number of active leaks in both systems is a critical part of maintaining safe and reliable service. Costs associated with reducing the leak backlog of both Companies are recovered from customers. As such, shareholders bear no additional risk for such work. When shareholders bear no risk for work and when that work is in furtherance of a basic utility regulatory compliance obligation, a bonus shareholder incentive, if not inappropriate, should only reward outstanding performance.

Q. WHAT DO YOU PROPOSE?

A. The goal of these programs should be to eliminate the leak backlogs within five years. KEDNY needs to implement phased annual reduction targets of an additional 275 leaks not the proposed 150 leaks. Similarly, KEDLI needs to implement phased annual reduction targets of an additional 700 leaks not the proposed phased reduction targets of 650 leaks for CY 2026 and 550 leaks for CY 2027.

Q. IS THERE ANYTHING ELSE THAT THE COMPANIES SHOULD DO?

A. The Companies should expand their methods of leak detection to include a drive through of both territories, in their entirety, each month. This would bring them on an equal footing with the practices currently in place with the Con Edison Gas System approach. Additional cost for this can be handled through the proposed 90/10 sharing mechanism discussed in O&M expenses above.

DAMAGE PREVENTION SAFETY METRICS

Q. WHAT ARE THE COMPANIES' PROPOSALS FOR THE DAMAGE PREVENTION SAFETY METRICS?

A. The Companies track, measure, and count damages in this category in accordance with the guidelines for data reporting for the Annual Pipeline Safety Performance Measures Report, excluding homeowners and hand damages that did not provide a One-Call ticket. The Companies propose a metric that maintains the CY 2024 performance levels set in the prior rate case in the Rate Year and Data Years. The City has no issue with this proposal.

GAS REGULATIONS PERFORMANCE METRICS

Q. WHAT ARE THE COMPANIES' PROPOSALS FOR GAS REGULATION PERFORMANCE METRICS?

A. KEDNY and KEDLI are currently subject to a Gas Safety Regulations Performance Metric that exposes the Companies to significant NRAs (up to 75 pre-tax basis points) based on violations of certain Commission's rules and regulations contained in 16 NYCRR Parts 255 (Transmission and Distribution of Gas) and 261 (Piping Beyond the Meter) and Title 49 Part 193 of the Code of Federal Regulations (for Liquified Natural Gas ("LNG") operations) that are set forth in Appendix 8 of the Joint Proposal approved in the 2019 KEDNY and KEDLI Rate Cases. The violations are determined by Staff's annual field, records, and LNG audits. The metric imposes an NRA based on occurrences and violations identified during these audits in accordance with specific targets. The number of occurrences of non-compliance with each "high risk" and "other risk"

regulation is capped at ten per audit type (field, record, or LNG) per CY. The Companies did not propose any changes to the current metric. The existing metric structure, which, as of 2023, includes violations of LNG regulations, should continue. The City has no issue with this proposal as a current NRA only metric.

RETURN THE HISTORIC NRA BALANCE

Q. ARE THERE ANY ISSUES WITH HOW NRA AND PRA MONIES ARE HANDLED?

A. Yes. The current situation does not appear fair to ratepayers. NRA monies are deferred for future use to be determined by the Commission, but PRA monies can be collected through both the Earnings Adjustment Mechanism ("EAM") and Gas Safety and Reliability Surcharge ("GSRS"). In this method, the shareholder gets the benefit of the PRA as a surcharge to existing rates but the ratepayer needs to wait until the next rate case. In that rate case, the NRA monies are usually taken to fund specific safety programs or to ameliorate rate increases.

Q. HOW MUCH HAVE THE COMPANIES COLLECTED FOR THE BENEFIT OF THE SHAREHOLDER?

A. In the response to IR CNY-061, the Companies indicated that KEDNY and KEDLI recorded PRAs related to the EAM and GSRS, which are recovered through the Delivery Rate Adjustment. KEDNY PRAs collected over the last five years through the EAM totaled $6.4 million and through the GSRS totaled $8.4 million. KEDLI PRAs collected over the last five years through the EAM totaled $5.3 million and through the GSRS

totaled $8.5 million. In comparison, there is a deferral of NRA monies for future use to fund gas safety and compliance improvement programs.

Q. HOW MUCH WAS THE DEFERRAL OF NRAS?

A. Per the Case 19-G-0309 Joint Proposal, KEDNY amortized $21 million of the NRA balances through March 31, 2023, the end of the rate plan ($19.5 million through December 2022), partially funding the Residential Methane Detection Program. IR CNY-060 indicates that there was an NRA balance of $15,755,001.25 at the beginning of CY 2018 and a balance of $6,643,998.35 at the end of CY 2022.

KEDLI did not utilize any of the NRA balances which are pending final disposition by the Commission. IR CNY-060 indicates that there was an NRA balance of $13,891,300.00 at the beginning of CY 2018 and a balance of $14,840,892.96 at the end of CY 2022.

Additional specific details about where some of the NRA monies were used can be found in Attachments 1 and 2 to IR CNY-060**.**

Q. WHAT DO YOU PROPOSE?

A. Simply stated, at the end of each calendar year, PRAs and NRAs should be netted against each other. In this way only a positive PRA balance or a negative NRA balance moves forward. The PRA balance can continue to be recovered through the current method. An NRA balance would preferably be used to offset GSRS collections. Continued deferral for the future would be a poor second choice.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.